

Industry ↴

976 Real Estate—Retail Land

976 Real Estate—Retail Land

10 Overall

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

976-10-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Time-Sharing	Amended	Accounting Standards Update No. 2014-06	03/14/2014
	Undivided Interest (2nd def.)	Superseded	Accounting Standards Update No. 2014-06	03/14/2014
	976-10-05-1	Amended	Accounting Standards Update No. 2016-02	02/25/2016
	976-10-05-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014
	976-10-05-2	Amended	Accounting Standards Update No. 2014-09	05/28/2014
	976-10-15-2	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

[🔗 Related Proposed ASUs](#)

976-10-05-1 The Codification contains several Topics for real estate due to the differing accounting treatment for various real estate subindustries. The Topics include:

- a. Real Estate—General
- b. Real Estate—Common Interest Realty Associations
- c. Real Estate—Real Estate Investment Trusts
- d. Real Estate—Retail Land
- e. Real Estate—Time-Sharing Activities.

See also Subtopic [842-40](#) for accounting guidance for the sale of real estate that is part of a sale and leaseback transaction.

976-10-05-2 The Real Estate—Retail Land Topic addresses the unique accounting and reporting issues for retail land sales that are sales, on a volume basis, of lots that are subdivisions of large tracts of land. The sales are characterized by very small down payments and a sales contract or buyer's note for the balance of the purchase price. This Topic includes the following Subtopics:

- a. Overall
- b. Receivables
- c. Inventory
- d. [Subparagraph superseded by Accounting Standards Update No. 2014-09.](#)
- e. Cost of Sales and Services.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

i General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

- 976-10-15-1** The Subtopics within the Real Estate—Retail Land Topic only provide incremental industry-specific guidance for the entities defined in this Scope Section, or as further defined in the Scope Sections of the individual Subtopics. Entities within the scope of this Topic shall also comply with the applicable guidance not included in this Topic.
- 976-10-15-2** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

> Entities

- 976-10-15-3** This Topic provides guidance for all entities that sell, on a volume basis, lots that are subdivisions of large tracts of land. Such sales are characterized by down payments so small that local banks and savings and loan institutions would not loan money on the property at market rates or purchase the buyer's note for the remaining purchase price without a substantial discount. The seller is unable to enforce the sales contract or the buyer's note against the buyer's general credit. If the buyer cancels the contract within an established cancellation period, its money is refunded. Defaults by the buyer after the cancellation period result in recovery of the land by the seller and forfeiture of at least some principal payments made by the buyer. Federal and state laws may affect the amount that can be retained by the seller.

> Transactions

- 976-10-15-4** The guidance in this Topic does not apply to the following transactions and activities:
- Sales of lots to builders
 - Sales of homes, buildings, and parcels of land to builders and others
 - Sales of corporate stock of entities with substantial real estate, sales of partnership interests, and sales of [time-sharing](#) interests if the sales are in substance sales of real estate. An example of a sale of a partnership interest that is in substance a sale of real estate would be an entity forming a partnership, arranging for the partnership to acquire the property directly from third parties, and selling an interest in the partnership to investors who then become limited partners.
 - Sales of options to purchase real estate.

20 Glossary

i General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Tenancy-for-Years

A time-sharing arrangement in which a customer has a qualified right to possession and use of a time-sharing interval for a certain number of years, after which it reverts to the seller or a third party. Also known as Estate-for-Years or Term-for-Years.

Time-Sharing

An arrangement in which a seller sells or conveys the right to occupy a dwelling unit for specified periods in the future. Forms of time-sharing arrangements include but are not limited to fixed and floating time, interval ownership, undivided interests, points programs, vacation clubs, right-to-use arrangements such as [tenancy-for-years](#) arrangements, and arrangements involving special-purpose entities. In this context, an undivided interest is a time-sharing arrangement that involves a tenant-in-common interest in a condominium unit or entire improved property, and in which the interest holder is assigned a specific period (generally, a specific week). The interest holder is also assigned a specific unit if the undivided interest is in the entire improved property.

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310 Receivables

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

976-310-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Full Accrual Method	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	976-310-30-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	976-310-35-3	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 976-310-05-1** This Subtopic provides measurement and disclosure guidance concerning receivables from retail land sales.

15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

- i General Note for Financial Instruments:** Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

- 976-310-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [976-10-15](#).

20 Glossary

- General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

- Editor's Note:** All glossary terms have been removed from this Subtopic. See this Subtopic's Status Section (Section 00) and/or this Section's archive for more information.

30 Initial Measurement

- General Note:** The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

976-310-30-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

35 Subsequent Measurement

General Note:The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

976-310-35-1 An allowance shall be provided for receivables that are not expected to be collected because of cancellation in subsequent periods. Historical data shall be evaluated to predict the collection of receivables from current sales. The historical data shall be selected from a representative sample of receivables that reflect the latest available collection data and cover an adequate period of time. The receivables in the sample shall be considered uncollectible and the allowance for contract cancellations provided for previously recognized sales shall be appropriately adjusted if payments due are unpaid at the end of the sample period selected for the following delinquency periods.

Percent of Contract Price Paid	Delinquency Period
Less than 25 percent	90 days
25 percent but less than 50 percent	120 days
50 percent and over	150 days

976-310-35-2 The specified delinquency periods may be extended if the seller's recent experience has been better or if the buyer has accepted, or is willing to accept, personal liability on its debt, provided that the buyer's ability to complete payment on the contract can be determined.

976-310-35-3 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

40 Derecognition

General Note:The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

General

976-310-40-1 Receivable balances applicable to cancelled contracts are charged in their entirety to the allowance for contract cancellations when those contracts are cancelled.

50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

- 976-310-50-1** Disclosures by entities with retail land sales operations shall include all of the following:
- a. Maturities of accounts receivable for each of the five years following the date of the financial statements
 - b. Delinquent accounts receivable and the method(s) for determining delinquency
 - c. The weighted average and range of stated interest rates of receivables.

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05 Overview and Background

i General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 976-330-05-1** This Subtopic provides disclosure guidance concerning expenditures for improvements of entities with retail land sales operations.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

976-330-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [976-10-15](#).

50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

976-330-50-1 Disclosures by entities with retail land sales operations shall include both of the following:

- Estimated total costs and estimated dates of expenditures for improvements for major areas from which sales are being made over each of the five years following the date of the financial statements
- Recorded obligations for improvements.

976 Real Estate—Retail Land

605 Revenue Recognition

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

976-605-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Full Accrual Method	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	976-605-05-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	976-605-15-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	976-605-25-1 through 25-12	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	976-605-30-1 through 30-4	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	976-605-35-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	976-605-55-1 through 55-14	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

976-605-05-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

15 Scope and Scope Exceptions

- ① **General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

- ① **General Note for Financial Instruments:** Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

976-605-15-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

25 Recognition

- ① **General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

- 976-605-25-1** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 976-605-25-2** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 976-605-25-3** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 976-605-25-4** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 976-605-25-5** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 976-605-25-6** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 976-605-25-7** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 976-605-25-8** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 976-605-25-9** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 976-605-25-10** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 976-605-25-11** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 976-605-25-12** Paragraph superseded by Accounting Standards Update No. 2014-09.

30 Initial Measurement

General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

976-605-30-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

976-605-30-2 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

976-605-30-3 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

976-605-30-4 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

35 Subsequent Measurement

i General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

976-605-35-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

55 Implementation Guidance and Illustrations

i General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

976-605-55-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

976-605-55-2 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

- 976-605-55-3** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 976-605-55-4** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 976-605-55-5** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 976-605-55-6** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 976-605-55-7** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 976-605-55-8** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 976-605-55-9** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 976-605-55-10** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 976-605-55-11** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 976-605-55-12** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 976-605-55-13** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 976-605-55-14** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

976 Real Estate—Retail Land

705 Cost of Sales and Services

00 Status

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General

976-705-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Full Accrual Method	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

976-705-30-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
976-705-30-2	Amended	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

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General

976-705-05-1 This Subtopic provides measurement guidance concerning the cost of retail land sales.

15 Scope and Scope Exceptions

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General

> Overall Guidance

976-705-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [976-10-15](#).

20 Glossary

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i Editor's Note: All glossary terms have been removed from this Subtopic. See this Subtopic's Status Section (Section 00) and/or this Section's archive for more information.

30 Initial Measurement

i General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

976-705-30-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

976-705-30-2 See Subtopic [340-40](#) for guidance on incremental costs of obtaining a contract with a customer and costs to fulfill a contract.